

DIALOG AXIATA PLC

**CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS
FOR THE QUARTER ENDED
30 JUNE 2026**

Report on Review of Condensed Consolidated Interim Financial Information

To the Board of Directors of Dialog Axiata PLC

Introduction

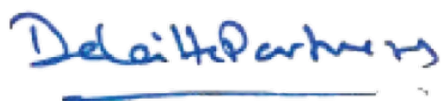
We have reviewed the accompanying condensed interim statement of financial position of Dialog Axiata PLC (“the Company”) and condensed consolidated interim financial position of Dialog Axiata PLC and its subsidiaries (“the Group”) as at 30 June 2026, the related condensed statements of comprehensive income of the Company and the Group for the quarter ended and cumulative six - months ended 30 June 2026, the related changes in equity and cash flows of the Company and the Group for the cumulative six - months then ended, and a summary of material accounting policies and other explanatory notes. Management is responsible for the preparation and fair presentation of this condensed interim financial information in accordance with Sri Lanka Accounting Standard 34 [LKAS34] – Interim Financial Reporting. Our responsibility is to express a conclusion on this condensed interim financial information based on our review.

Scope of Review

We conducted our review in accordance with Sri Lanka Standard on Review Engagements [SLSRE] 2410 – ‘Review of Interim Financial Information performed by the Independent Auditor of the Entity’. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Sri Lanka Auditing Standards and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying condensed interim financial information is not presented, in all material respects, in accordance with the Sri Lanka Accounting Standard 34 [LKAS34] – Interim Financial Reporting.



CHARTERED ACCOUNTANTS

COLOMBO

14 August 2026

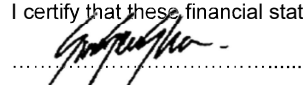
DIALOG AXIATA PLC**Statement of financial position**

(all amounts are in Sri Lanka Rupees thousands)

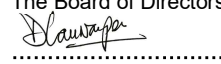
As at	Group		Company	
	30 June 2026 (Reviewed)	31 December 2025 (Audited)	30 June 2026 (Reviewed)	31 December 2025 (Audited)
ASSETS				
Non-current assets				
Intangible assets	46,872,170	42,233,321	37,403,929	33,208,814
Contract costs assets	10,192,369	11,767,495	2,882,926	3,159,678
Property, plant and equipment	144,495,775	141,688,633	112,960,927	108,109,849
Right-of-use assets	10,682,480	9,415,848	10,305,645	9,072,717
Deferred tax asset	249,307	225,931	-	-
Investment in subsidiaries	-	-	40,983,648	40,675,068
Other financial assets	3,660,298	3,533,279	-	-
	216,152,399	208,864,507	204,537,075	194,226,126
Current assets				
Inventories	2,225,965	1,792,975	518,990	304,732
Trade and other receivables	32,900,628	37,788,321	18,962,759	24,387,112
Other financial assets	9,962,103	7,979,184	689,071	100,304
Cash and cash equivalents	20,000,348	19,050,199	17,653,208	14,995,399
	65,089,044	66,610,679	37,824,028	39,787,547
Total assets	281,241,443	275,475,186	242,361,103	234,013,673
EQUITY				
Capital and reserves attributable to equity holders				
Stated capital	39,905,563	39,905,563	39,905,563	39,905,563
Reserves	49,158,662	50,224,636	29,948,777	34,410,608
Non-controlling interest	15,192	(117,471)	-	-
Total equity	89,079,417	90,012,728	69,854,340	74,316,171
LIABILITIES				
Non-current liabilities				
Borrowings	19,012,000	15,482,402	17,712,000	13,146,186
Contract liabilities	8,234,162	6,106,728	7,204,658	5,069,234
Deferred income	180,632	228,865	180,632	228,865
Lease liabilities	10,662,247	9,427,146	10,314,608	9,151,770
Other financial liabilities	442,527	300,997	-	-
Employee benefit payables	2,355,411	2,218,377	1,671,853	1,580,298
Provision for other liabilities	8,929,430	4,957,418	8,503,382	4,536,320
Deferred tax liability	4,220,307	3,660,828	2,138,890	1,800,000
	54,036,716	42,382,761	47,726,023	35,512,673
Current liabilities				
Trade and other payables	71,870,445	67,114,369	80,033,388	70,800,091
Borrowings	52,282,082	61,003,632	37,661,177	43,891,953
Other financial liabilities	4,805,202	3,318,810	-	-
Lease liabilities	2,016,281	1,812,334	1,942,705	1,707,607
Contract liabilities	4,487,069	8,367,771	3,570,695	6,442,759
Current income tax liabilities	2,664,231	1,462,781	1,572,775	1,342,419
	138,125,310	143,079,697	124,780,740	124,184,829
Total liabilities	192,162,026	185,462,458	172,506,763	159,697,502
Total equity and liabilities	281,241,443	275,475,186	242,361,103	234,013,673
Net assets per share (Rs.)	9.68	9.78	7.59	8.08

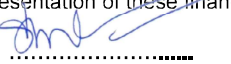
The notes on pages 8 to 14 form an integral part of these financial statements.

I certify that these financial statements have been prepared in compliance with the requirements of the Companies Act, No. 07 of 2007.


Sini Siew Shan
 Group Chief Financial Officer

The Board of Directors is responsible for the preparation and presentation of these financial statements.


David Nai Pek Lau
 Chairman


Supun Weerasinghe
 Director

Date: 14 August 2026

DIALOG AXIATA PLC**Statement of comprehensive income**

(all amounts are in Sri Lanka Rupees thousands)

For the six months ended 30 June	Group		Company	
	2026 (Reviewed)	2025 (Reviewed)	2026 (Reviewed)	2025 (Reviewed)
Revenue	95,515,048	87,419,671	73,251,657	65,974,666
Direct costs	(41,237,552)	(42,136,959)	(31,368,749)	(30,721,815)
Gross profit	54,277,496	45,282,712	41,882,908	35,252,851
Distribution costs	(10,289,174)	(10,415,290)	(8,790,304)	(9,019,791)
Administrative costs	(17,044,927)	(16,941,811)	(12,266,279)	(12,393,035)
Net impairment losses on financial assets	(1,404,581)	(1,361,024)	(266,076)	(717,712)
Other income	318,630	541,433	295,780	555,695
Operating profit	25,857,444	17,106,020	20,856,029	13,678,008
Finance income	354,713	555,146	399,267	520,667
Finance costs	(4,207,382)	(4,936,110)	(3,602,550)	(4,242,465)
Net foreign exchange gain / (loss)	505,217	(645,617)	102,863	(808,632)
Finance costs - net	(3,347,452)	(5,026,581)	(3,100,420)	(4,530,430)
Share of loss from associates - net of tax	-	(47,115)	-	-
Profit before income tax	22,509,992	12,032,324	17,755,609	9,147,578
Income tax expense	(3,209,253)	(2,839,682)	(1,976,703)	(2,272,103)
Profit for the period	19,300,739	9,192,642	15,778,906	6,875,475
Other comprehensive income not to be reclassified to income statement				
Net gain /(loss) on equity instruments at fair value through other comprehensive income, net of tax	6,687	(30,036)	-	-
Other comprehensive income for the period, net of tax	6,687	(30,036)	-	-
Total comprehensive income for the period	19,307,426	9,162,606	15,778,906	6,875,475
Profit / (loss) for the period attributable to:				
- owners of the Company	19,300,514	9,197,488	15,778,906	6,875,475
- non-controlling interest	225	(4,846)	-	-
Total comprehensive income for the period attributable to:				
- owners of the Company	19,307,256	9,169,071	15,778,906	6,875,475
- non-controlling interest	170	(6,465)	-	-
Earnings per share				
- basic	2.10	1.00	1.72	0.75
- diluted	2.10	1.00	1.72	0.75
Dividend per share	2.20	1.00	2.20	1.00

The notes on pages 8 to 14 form an integral part of these financial statements.

DIALOG AXIATA PLC**Statement of comprehensive income**

(all amounts are in Sri Lanka Rupees thousands)

For the quarter ended 30 June	Group		Company	
	2026 (Reviewed)	2025 (Reviewed)	2026 (Reviewed)	2025 (Reviewed)
Revenue	48,222,852	44,125,720	37,231,246	33,720,704
Direct costs	(20,791,556)	(20,720,167)	(16,153,117)	(15,378,787)
Gross profit	27,431,296	23,405,553	21,078,129	18,341,917
Distribution costs	(5,311,810)	(5,354,088)	(4,555,848)	(4,657,221)
Administrative costs	(8,575,048)	(8,688,801)	(6,031,048)	(6,253,766)
Net impairment (loss) / gain on financial assets	(658,938)	(825,417)	12,713	(432,127)
Other income	120,821	391,417	124,175	441,505
Operating profit	13,006,321	8,928,664	10,628,121	7,440,308
Finance income	217,463	298,244	225,906	280,562
Finance costs	(2,116,090)	(2,417,132)	(1,796,710)	(2,046,301)
Net foreign exchange gain / (loss)	516,180	(398,275)	71,844	(457,075)
Finance costs - net	(1,382,447)	(2,517,163)	(1,498,960)	(2,222,814)
Share of loss from associates - net of tax	-	-	-	-
Profit before income tax	11,623,874	6,411,501	9,129,161	5,217,494
Income tax expense	(1,510,209)	(1,347,913)	(942,139)	(1,205,948)
Profit for the period	10,113,665	5,063,588	8,187,022	4,011,546
Other comprehensive income not to be reclassified to income statement				
Net loss on equity instruments at fair value through other comprehensive income, net of tax	-	(30,036)	-	-
Other comprehensive income for the period, net of tax	-	(30,036)	-	-
Total comprehensive income for the period	10,113,665	5,033,552	8,187,022	4,011,546
Profit / (loss) for the period attributable to:				
- owners of the Company	10,114,422	5,066,275	8,187,022	4,011,546
- non-controlling interest	(757)	(2,687)	-	-
Total comprehensive income for the period attributable to:				
- owners of the Company	10,114,422	5,037,858	8,187,022	4,011,546
- non-controlling interest	(757)	(4,306)	-	-
Earnings per share				
- basic	1.10	0.55	0.89	0.44
- diluted	1.10	0.55	0.89	0.44
Dividend per share	2.20	1.00	2.20	1.00

The notes on pages 8 to 14 form an integral part of these financial statements.

DIALOG AXIATA PLC**Consolidated statement of changes in equity**

(all amounts are in Sri Lanka Rupees thousands)

	Attributable to owners of the Parent		Non-controlling interest	Total
	Stated capital	Reserves		
Balance at 1 January 2026	39,905,563	50,224,636	(117,471)	90,012,728
Profit for the period	-	19,300,514	225	19,300,739
Other comprehensive income	-	6,742	(55)	6,687
Total comprehensive income for the period	-	19,307,256	170	19,307,426
Transaction with Non-controlling interest	-	(132,493)	132,493	-
Dividend to shareholders	-	(20,240,737)	-	(20,240,737)
Balance at 30 June 2026	39,905,563	49,158,662	15,192	89,079,417
Balance at 1 January 2025	39,905,563	38,448,023	(73,623)	78,279,963
Profit / (loss) for the period	-	9,197,488	(4,846)	9,192,642
Other comprehensive income	-	(28,417)	(1,619)	(30,036)
Total comprehensive income for the period	-	9,169,071	(6,465)	9,162,606
Transaction with non-controlling interest	-	7,862	(16,600)	(8,738)
Dividend to shareholders	-	(9,200,335)	-	(9,200,335)
Balance at 30 June 2025	39,905,563	38,424,621	(96,688)	78,233,496
Balance at 1 July 2025	39,905,563	38,424,621	(96,688)	78,233,496
Profit / (loss) for the period	-	11,572,435	(5,079)	11,567,356
Other comprehensive income	-	223,663	2	223,665
Total comprehensive income for the period	-	11,796,098	(5,077)	11,791,021
Transactions with non-controlling interest	-	3,917	(15,706)	(11,789)
Balance at 31 December 2025	39,905,563	50,224,636	(117,471)	90,012,728

DIALOG AXIATA PLC**Company statement of changes in equity****(all amounts are in Sri Lanka Rupees thousands)**

	Stated capital	Reserves	Total
Balance at 1 January 2026	39,905,563	34,410,608	74,316,171
Profit for the period	-	15,778,906	15,778,906
Other comprehensive income	-	-	-
Total comprehensive income for the period	-	15,778,906	15,778,906
Dividend to shareholders	-	(20,240,737)	(20,240,737)
Balance at 30 June 2026	39,905,563	29,948,777	69,854,340
Balance at 1 January 2025	39,905,563	27,843,679	67,749,242
Profit for the period	-	6,875,475	6,875,475
Other comprehensive income	-	-	-
Total comprehensive income for the period	-	6,875,475	6,875,475
Dividend to shareholders	-	(9,200,335)	(9,200,335)
Balance at 30 June 2025	39,905,563	25,518,819	65,424,382
Balance at 01 July 2025	39,905,563	25,518,819	65,424,382
Profit for the period	-	8,703,957	8,703,957
Other comprehensive income	-	187,832	187,832
Total comprehensive income for the period	-	8,891,789	8,891,789
Balance at 31 December 2025	39,905,563	34,410,608	74,316,171

DIALOG AXIATA PLC**Statement of cash flows**

(all amounts are in Sri Lanka Rupees thousands)

For the six months ended 30 June

	Group		Company	
	2026	2025	2026	2025
	(Reviewed)	(Reviewed)	(Reviewed)	(Reviewed)
Cash flows from operating activities				
Cash generated from operations	49,472,795	43,009,965	46,089,455	40,618,392
Interest received	1,403,797	499,100	233,676	361,877
Interest paid	(2,629,526)	(4,718,153)	(1,794,372)	(3,869,738)
Income taxes paid	(1,719,012)	(1,357,742)	(1,359,549)	(1,209,392)
Employee benefits obligations paid	(141,500)	(223,415)	(114,712)	(181,329)
Net cash inflow from operating activities	46,386,554	37,209,755	43,054,498	35,719,810
Cash flows from investing activities				
Purchase of property, plant and equipment	(10,685,329)	(11,609,211)	(8,634,961)	(8,425,302)
Purchase of intangible assets	(1,429,511)	(2,832,532)	(1,339,648)	(1,753,893)
Investment in subsidiaries	-	-	(308,580)	-
Net proceeds from sale of other financial assets	368,395	100,000	-	-
Dividend received	57	-	-	-
Net cash outflow from investing activities	(11,746,388)	(14,341,743)	(10,283,189)	(10,179,195)
Cash flows from financing activities				
Repayment of borrowings	(35,687,598)	(26,607,902)	(31,881,615)	(24,028,969)
Proceeds from borrowings	35,580,172	25,661,200	32,250,000	22,850,000
Principal element of lease payment	(1,912,286)	(2,011,577)	(1,818,519)	(1,943,064)
Dividends paid to ordinary shareholders	(27,030,970)	(17,784,656)	(27,030,970)	(17,784,656)
Redemption of preference shares from non-controlling interest	-	(8,738)	-	-
Net cash outflow from financing activities	(29,050,682)	(20,751,673)	(28,481,104)	(20,906,689)
Net increase in cash and cash equivalents	5,589,484	2,116,339	4,290,205	4,633,926
Movement in cash and cash equivalents				
At beginning of the period	3,245,397	11,503,551	6,062,151	6,832,631
Net increase in cash and cash equivalent	5,589,484	2,116,339	4,290,205	4,633,926
Effect of exchange rate changes	1,067,009	767,668	1,171,811	713,899
At end of the period	9,901,890	14,387,558	11,524,167	12,180,456

Cash and cash equivalents at the end of the financial period consist of the following:

	Group		Company	
As at 30 June	2026	2025	2026	2025
Cash in hand and at bank	20,000,348	38,221,162	17,653,208	31,053,436
Bank overdrafts	(10,098,458)	(23,833,604)	(6,129,041)	(18,872,980)
At end of the period	9,901,890	14,387,558	11,524,167	12,180,456

DIALOG AXIATA PLC

Notes to the condensed consolidated interim financial statements

(all amounts in the notes are in Sri Lanka Rupees thousands unless otherwise stated)

1 General information

Dialog Axiata PLC ('the Company') and its subsidiaries (together 'the Group') provide communication services (mobile, fixed, broadband, international gateway services), telecommunication infrastructure services (tower infrastructure and transmission services), media (digital television services based on multiple media - satellite, cable, terrestrial), digital services including but not limited to digital commerce (mobile and eCommerce), electronic payments (including mobile payment), digital health, navigation and enterprise services and financial services, software solutions, data center services, manpower services, provision of Information Technology and venture capital investment activities.

Dialog Axiata PLC is a public limited liability company incorporated and domiciled in Sri Lanka and is listed on the Colombo Stock Exchange since 28 July 2005. The registered office of the Company is located at 475, Union Place, Colombo 2.

2 Basis of preparation

The condensed interim financial statements for the period ended 30 June 2026 of the Company and the Group have been prepared in accordance with Sri Lanka Accounting Standard LKAS 34, 'Interim Financial Reporting'. The condensed consolidated interim financial statements should be read in conjunction with the audited financial statements for the year ended 31 December 2025.

3 Segment information

Operating segments are presented in a manner consistent with the internal reporting provided to chief operating decision makers.

- The segment results for the period ended 30 June 2026 are as follows:

	Mobile operation	Fixed telephony and broadband operation	Television operation	Elimination /Adjustment	Group
Total segmental revenue	78,598,096	17,942,360	7,468,307	-	104,008,763
Inter-segment revenue	(4,369,770)	(4,075,164)	(48,781)	-	(8,493,715)
Revenue from external customers	74,228,326	13,867,196	7,419,526	-	95,515,048
Segment operating profit for the period	20,025,982	5,389,043	421,055	21,364	25,857,444
Finance cost – net					(3,347,452)
Profit before income tax					22,509,992
Income tax expense					(3,209,253)
Profit for the period					19,300,739

- Other segment items included in the statement of comprehensive income are as follows:

	Mobile operation	Fixed telephony and broadband operation	Television operation	Elimination /Adjustment	Group
Depreciation, amortization and impairment	17,106,357	5,379,570	1,927,435	-	24,413,362

DIALOG AXIATA PLC

Notes to the condensed consolidated interim financial statements (Continued)

3 Segment information (Continued)

- The segment assets and liabilities at 30 June 2026 and capital expenditure for the period ended are as follows:

	Mobile operation	Fixed telephony and broadband operation	Television operation	Elimination /Adjustment	Group
Assets	265,931,905	77,315,692	14,024,043	(39,199,007)	318,072,633
Inter-segment assets	(7,107,813)	(26,084,290)	(3,639,087)	-	(36,831,190)
Total assets	258,824,092	51,231,402	10,384,956	(39,199,007)	281,241,443
Liabilities	190,796,116	20,728,874	17,155,749	-	228,680,739
Inter-segment liabilities	(32,205,634)	(849,136)	(3,463,943)	-	(36,518,713)
Total liabilities	158,590,482	19,879,738	13,691,806	-	192,162,026
Capital expenditure	22,630,327	1,894,795	31,182	-	24,556,304

- The segment results for the period ended 30 June 2025 are as follows:

	Mobile operation	Fixed telephony and broadband operation	Television operation	Elimination /Adjustment	Group
Total segmental revenue	71,081,005	17,392,681	6,391,941	-	94,865,627
Inter-segment revenue	(4,155,497)	(3,262,913)	(27,546)	-	(7,445,956)
Revenue from external customers	66,925,508	14,129,768	6,364,395	-	87,419,671
Segment operating profit / (loss) for the period	13,779,473	3,691,618	(356,581)	(8,490)	17,106,020
Finance costs – net					(5,026,581)
Share of loss from associates - net of tax					(47,115)
Profit before income tax					12,032,324
Income tax expense					(2,839,682)
Profit for the period					9,192,642

- Other segment items included in the statement of comprehensive income are as follows:

	Mobile operation	Fixed telephony and broadband operation	Television operation	Elimination /Adjustment	Group
Depreciation, amortization and impairment	16,377,952	5,942,662	1,576,374	-	23,896,988

DIALOG AXIATA PLC

Notes to the condensed consolidated interim financial statements (Continued)

3 Segment information (Continued)

- The segment assets and liabilities at 30 June 2025 and capital expenditure for the period then ended are as follows:

	Mobile operation	Fixed telephony and broadband operation	Television operation	Elimination /Adjustment	Group
Assets	277,989,668	75,031,526	12,349,237	(38,643,138)	326,727,293
Inter-segment assets	(4,162,990)	(17,019,411)	(3,111,809)	-	(24,294,210)
Total assets	273,826,678	58,012,115	9,237,428	(38,643,138)	302,433,083
Liabilities	207,591,512	25,771,406	15,676,460	-	249,039,378
Inter-segment liabilities	(20,293,821)	(832,030)	(3,713,940)	-	(24,839,791)
Total liabilities	187,297,691	24,939,376	11,962,520	-	224,199,587
Capital expenditure	6,894,011	4,063,001	25,162	-	10,982,174

4 Reserves

	Group		Company	
As at	2026 30 June	2025 31 December	2026 30 June	2025 31 December
Attributable to the owners of the Company				
Retained earnings	48,954,643	50,027,368	29,948,777	34,410,608
Fair value through other comprehensive income ("FVOCI") reserve	204,019	197,268	-	-
Attributable to the non-controlling interest				
Non-controlling interest	15,192	(117,471)	-	-
	49,173,854	50,107,165	29,948,777	34,410,608

5 Seasonal or cyclical factors

The operations of the Group were not significantly affected by any seasonal or cyclical factors.

6 Estimates

The preparation of condensed consolidated interim financial statements requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates.

There were no changes in estimates and assumptions used in prior financial periods that may have a material effect in the current quarter and for the financial period to date.

In preparing the condensed consolidated interim financial statements, the significant judgments made by the management in applying the Group's accounting policies and the sources of estimates uncertainty are consistent with the audited financial statements for the year ended 31 December 2025.

7 Stated capital

Stated capital of the Company consists of 9,200,334,994 ordinary shares as at 30 June 2026 (31 December 2025 - 9,200,334,994)

DIALOG AXIATA PLC

Notes to the condensed consolidated interim financial statements (Continued)

8 Market price per share

For the three months ended 30 June

	2026 LKR	2025 LKR
- Highest	48.40	19.30
- Lowest	30.10	13.00
- Last traded	46.10	19.10

9 Directors' shareholdings

The details of shares held directly by the Directors and their spouses as at 30 June 2026 are as follows:

	Number of shares
Mr. Supun Weerasinghe	4,260,200

None of the Directors and their spouses, other than those disclosed above directly held any share in the Company.

10 Twenty largest shareholders of the Company

Name of Shareholders	No. of shares	% Holding
1 Axiata Investments (Labuan) Limited	6,785,252,765	73.75
2 Bharti Airtel Limited	952,694,689	10.36
3 Employees' Provident Fund	266,393,402	2.90
4 Citibank Hong Kong S/A Hostplus Pooled Superannuation Trust	170,378,629	1.85
5 BBH Luxfidelity Funds-Pacific Fund	128,421,604	1.40
6 SSBT-Sunsuper PTY. LTD. as Trustee for Sunsuper Superannuation Fund	122,573,762	1.33
7 J.B. Cocoshell (PVT) LTD	74,135,214	0.81
8 BBH - Fidelity Funds	53,560,648	0.58
9 Deutsche Bank Ag Trustee to Lynear Wealth Dynamic Opportunities Fund	46,682,663	0.51
10 CACEIS Bank, Luxembourg Branch-NEF	32,772,588	0.36
11 Union Assurance PLC-Universal Life Fund	30,150,831	0.33
12 JPMCB NA - Government Institutions Pension Fund	29,891,387	0.32
13 JPMCB NA - Fidelity Asian Values PLC	28,909,966	0.31
14 CACEIS Bank, Ireland branch S/A bridge UCITS funds ICAV - Hosking Global Equity Fund	20,620,833	0.22
15 Mr. J.J. Hosking	20,500,000	0.22
16 Invenco Capital Private Limited	19,394,568	0.21
17 Northern Trust Company S/A Hosking Global Fund PLC	19,025,872	0.21
18 Lynear wealth management / Mr. Hanif Yusoof	17,118,751	0.19
19 Mandala Ventures (PVT) LTD	15,000,000	0.16
20 GF Capital Global Limited	13,687,960	0.15

11 Public shareholdings

Information pertaining to public shareholding is as follows:

As at	2026 June 30	2025 December 31
Public holding percentage	15.85%	15.85%
Number of public shareholders	27,457	24,876
Float adjusted market capitalization (LKR)	67,219,670,374	43,452,194,732

The Company is compliant with the Minimum Public Holding requirement under Option 1 of Rule 7.13.1 (i)(a) of the Listing Rules of the Colombo Stock Exchange.

DIALOG AXIATA PLC

Notes to the condensed consolidated interim financial statements (Continued)

12 Effect of changes in composition of the Group

a) Dialog Axiata Digital Innovation Fund (Private) Limited ('DADIF')

DADIF, a subsidiary of Digital Holdings Lanka (Private) Limited, issued a total of 7,500 Preference Shares in Fund 2 to DHL, with 3,750 shares issued on 30 April 2026, and 3,750 on 26 June 2026.

b) As part of Dialog Axiata PLC's Group-wide legal entity simplification initiative, steps are being undertaken to streamline dormant and non-core subsidiaries, with the objective of achieving cost efficiencies, enhancing governance oversight, and simplifying reporting structures. Accordingly, the following transfer of shares from Dormant Subsidiaries was completed on the dates indicated;

i) Communiq Broadband Network (Private) Limited ('CBN')

- Dialog Axiata PLC completed the transfer of its 01 Ordinary Share held in CBN to Digital Holdings Lanka (Private) Limited ("DHL") on 14 May 2026.
- Dialog Television (Private) Limited completed the transfer of its 44,747,810 Ordinary Shares held in CBN to DHL on 15 June 2026.

Following the aforesaid share transfers, DHL now holds 100% of the issued shares in CBN.

ii) Digital Commerce Lanka (Private) Limited ('DCL')

Dialog Axiata PLC completed the transfer of its 623,124 Ordinary Shares held in DCL to DHL on 14 May 2026. Following the share transfer, DHL increased its shareholding in DCL to 100% of the issued shares.

iii) Dialog Device Trading (Private) Limited ('DDT')

Dialog Axiata PLC completed the transfer of its 146,801,500 Ordinary Shares held in DDT to DHL on 14 May 2026. Following the share transfer, DHL now holds 100% of the issued shares in DDT.

iv) Telecard (Private) Limited ('Telecard')

Dialog Broadband Networks (Private) Limited completed the transfer of its 13,300,001 Ordinary Shares held in Telecard to DHL on 15 June 2026. Following the share transfer, DHL increased its shareholding in Telecard to 100% of the issued shares.

v) Headstart (Private) Limited ('Headstart')

DADIF completed the transfer of its 1,000 Ordinary Shares held in Headstart to DHL on 15 June 2026. Following the share transfer, DHL increased its shareholding in Headstart (Private) Limited to 100% of the issued shares.

13 Financial instruments measured at fair value

	Measurement criteria and the fair value – Group							
	Level 1		Level 2		Level 3		Total	
	30 Jun 2026	31 Dec 2025	30 Jun 2026	31 Dec 2025	30 Jun 2026	31 Dec 2025	30 Jun 2026	31 Dec 2025
Financial assets / (liabilities)								
Financial assets at fair value through profit or loss (FVTPL)								
- Investment in quoted equities	3,163	3,976	233,204	233,204	-	-	236,367	237,180
- Investment in unquoted equities	-	-	-	-	264,646	247,246	264,646	247,246
Derivative financial asset	-	-	1,263,501	154,518	-	-	1,263,501	154,518
Financial assets at fair value through other comprehensive income (FVOCI)								
- Investment in unquoted equities	-	-	-	-	644,256	637,569	644,256	637,569

DIALOG AXIATA PLC

Notes to the condensed consolidated interim financial statements (Continued)

13 Financial instruments measured at fair value (Continued)

The Group measures the financial instruments based on published price quotations (Level 1), market approach valuation technique (Level 2) with inputs of valuation technique such as interest rates and yield curves observable at commonly quoted intervals; implied volatilities; and credit spreads that are observable directly or indirectly and valuation technique with unobservable inputs (Level 3) at the end of the financial reporting period.

- (a) Carrying value of financial assets at FVTPL at the end of the financial reporting period represents the investments in quoted equity investments by Dialog Finance PLC and investment in unquoted equity investments by Dialog Axiata Digital Innovation Fund (Private) Limited (DADIF). During the fourth quarter 2025, DADIF's investment in InsureMe Insurance Brokers PLC was listed on the Empower Board of the Colombo Stock Exchange; however, as the company remains in a lock-in period for sales, it is assumed that there is no active market for this investment. Accordingly, the investment is classified under Level 2 of the fair value hierarchy.
- (b) Carrying value of financial assets at FVOCI represents the fair value of the investment in shares in the Credit Information Bureau of Sri Lanka by Dialog Finance PLC and investment in unquoted equity investments by Dialog Axiata Digital Innovation Fund (Private) Limited.

14 Cash and cash equivalents

Cash and cash equivalents of the Group also include restricted cash deposited in the following financial institutions:

As at	30 June 2026	31 December 2025
Hatton National Bank PLC, amount deposited in custodian accounts to facilitate Ez cash operation	804,104	803,433
	804,104	803,433

15 Revenue from contracts with customers

For the period ended 30 June	Group		Company	
	2026	2025	2026	2025
Mobile operation	74,228,326	66,925,508	73,251,657	65,974,666
Fixed telephony and broadband operation	13,867,196	14,129,768	-	-
Television operation	7,419,526	6,364,395	-	-
	95,515,048	87,419,671	73,251,657	65,974,666

Timing of revenue recognition	Group		Company	
	2026	2025	2026	2025
At a point in time	1,698,477	2,282,085	51,156	22,346
Over time	93,816,571	85,137,586	73,200,501	65,952,320
	95,515,048	87,419,671	73,251,657	65,974,666

16 Valuation of property, plant and equipment

The Company and the Group do not adopt a revaluation policy on its property, plant and equipment.

17 Donations

The total donations made by the Company and its subsidiaries during the period ending 30 June 2026 amounted to LKR 8.92Mn (2025 – LKR 12.89Mn).

For the period ended 30 June	Group		Company	
	2026	2025	2026	2025
Yeheli	4,703	1,060	4,703	1,060
Jaffna Speech Therapy Center - Nuffield School	1,375	1,189	1,375	1,189
Nenasa & SMART School	2,798	5,535	2,798	5,535
Others	45	5,102	45	5,102
	8,921	12,886	8,921	12,886

DIALOG AXIATA PLC

Notes to the condensed consolidated interim financial statements (Continued)

18 Contingent liabilities

In August 2008, Sri Lanka Customs ('SLC') detained a shipment of CDMA Customers' Premises Equipment ('CPE') belonging to Dialog Broadband Networks (Private) Limited ('DBN') and commenced an investigation into the eligibility of these items falling under the duty exemptions granted under the terms and conditions of the agreement with the Board of Investment of Sri Lanka. The shipment was cleared by DBN upon submitting bank guarantees and thereafter subsequent shipments of CPE were cleared by paying duty 'Under Protest'. SLC commenced an inquiry into this matter on 30 January 2009 which was temporarily suspended upon a proposed settlement by the Secretary to the Treasury in May 2010. However, SLC took steps to continue with the inquiry. Inquiry was held on several dates and the last date being 9 September 2016, however the inquiry was not concluded on this date. On 11 April 2018, DBN was served with an 'Order' dated 6 April 2018 by SLC imposing a mitigated monetary forfeiture of Rs. 1,626,622,200. DBN has instituted legal action challenging the order made by SLC in the Court of Appeal under Case No: CA (Writ) 166/2018. The matter was supported on 28 November 2018, and notices were issued on the respondents.

Thereafter, SLC filed objections on 15 February 2019 as directed by the Courts. The case was fixed for argument on several dates. The matter has been refixed for argument on 30 September 2026.

Except for the disclosed above, there has not been a significant change in the nature of the contingent liabilities, which were disclosed in the audited financial statements for the year ended 31 December 2025.

19 Capital commitments

Capital expenditure contracted for as at the statement of financial position date but not yet incurred consists of LKR 16,898 Mn (31.12.2025- LKR 6,302 Mn) and LKR 12,951 Mn (31.12.2025 - LKR 4,769 Mn) of the Group and the Company respectively.

20 Events after the reporting period

The Board of Directors of the Company has proposed an interim dividend of LKR 0.70 per share for the financial year 2026. As required by section 56 (2) of the Companies Act No. 07 of 2007, the Board of Directors had confirmed that the Company satisfied the solvency test in accordance with section 57 of the Companies Act No. 07 of 2007, and obtained a certificate from auditors, prior to declaring the dividend.